

ASCTI MASTER FLOW – PANEL 1/12: Tax-incidence fork

DIRECT TAX -> legal incidence on income/profit base

INDIRECT TAX -> transaction/consumption levy

BURDEN may shift through prices

PROGRESSIVITY requires incidence and base analysis

MUST REMEMBER: Tax design balances revenue, equity, efficiency, certainty and compliance;...

ASCII MASTER FLOW – PANEL 2/12: GST value-add chain

OUTPUT TAX

minus ELIGIBLE INPUT TAX CREDIT

-> TAX ON VALUE ADDITION

-> DESTINATION-JURISDICTION REVENUE

ASCII MASTER FLOW – PANEL 3/12: Subsumed-tax map

UNION -> excise on covered items + service tax + CVD/SAD
STATE -> VAT/CST + entry + luxury + specified entertainment
RESULT -> reduced cascading through ITC
VERIFY item and legal vintage

ASCII MASTER FLOW – PANEL 4/12: Outside-GST boundary

BASIC CUSTOMS DUTY

STAMP / PROPERTY / ELECTRICITY DUTIES

ALCOHOL FOR HUMAN CONSUMPTION

SPECIFIED PETROLEUM PRODUCTS -> owner-vintage status

ASCII MASTER FLOW – PANEL 5/12: GST Council voting board

ARTICLE 279A

CENTRE -> 1/3 weighted votes

STATES -> 2/3 weighted votes

DECISION -> at least 3/4 weighted votes

ASCII MASTER FLOW – PANEL 6/12: Inter-state settlement rail

INTER-STATE SUPPLY

-> IGST COLLECTION

-> INPUT-CREDIT ADJUSTMENT

-> DESTINATION SETTLEMENT

ASCLL MASTER FLOW – PANEL 7/12: Compensation timeline

2015-16 -> protected-revenue base

2017-2022 -> five-year guarantee

14% -> stated annual protected growth

TRANSITIONAL -> not permanent entitlement

ASCII MASTER FLOW – PANEL 8/12: Finance Commission map

VERTICAL -> Union versus states share

HORIZONTAL -> distribution among states

XV-FC -> owner records 41%

XVI-FC -> 2026-27 to 2030-31; accepted 41%

ASCII MASTER FLOW – PANEL 9/12: Divisible-pool boundary

ORDINARY SHAREABLE UNION TAXES

-> DIVISIBLE POOL

CESSES / SURCHARGES -> distinct treatment

FEDERAL EFFECT -> state untied-space concern

ASCII MASTER FLOW – PANEL 10/12: Administration and enforcement

CBDT -> Union direct taxes

CBIC + STATE ADMIN -> indirect tax / GST

ED / DRI / DGGI -> Revenue Department agencies

FUNCTIONS remain legally distinct

CLOSE DISTINCTION: Direct is not always progressive, GST rate recommendation is not levy...

ASCII MASTER FLOW – PANEL 11/12: Tax-base edge cases

ALLIED RURAL ACTIVITY != automatic agricultural income

RURAL AGRICULTURAL LAND -> statutory conditions

EQUALISATION LEVY -> specified digital-service history

INDIRECT TRANSFER -> offshore form, Indian-value link

EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: Separate Constitution, statute, Council...

ASCII MASTER FLOW – PANEL 12/12: Fiscal-federal answer spine

DEFINE base, incidence and destination

MAP collection, ITC and settlement

SEPARATE devolution, grants and cesses

BALANCE harmonisation, autonomy and trust